

Solar Industries India Ltd

NSE: SOLARINDS | BSE: 532725 | Industrials — Defence & Explosives

Institutional Equity Research | 02 June 2026

ACCUMULATE

12-Month Target

Rs. 20,000

+8.8% from CMP Rs. 18,386

Horizon: 12 months

CMP (02-Jun-26)	Rs. 18,386
Market Cap	Rs. 1,66,385 Cr
52W High / Low	Rs. 18,880 / 11,641
Stock P/E (TTM)	99.2x
Forward P/E	76.0x
EV/EBITDA	60.8x
Book Value (Consol)	Rs. 694
P/B	26.5x
ROCE	36.8%
ROE	31.5%
Debt / Equity	0.24x
Promoter Holding	73.15%
Div. Yield	0.05%
Face Value	Rs. 2.00

Investment Thesis: Solar Industries — India's only vertically integrated defence-explosives compounder — sits at the inflection of a 10-year defence supercycle, with an Rs.18,000 Cr defence order book (2.4x FY26 defence revenue) and management targeting Rs.14,000 Cr revenue in FY27 (+42% YoY).

Shareholding — Mar 2026

Promoters	73.15%	FIIIs	6.59%	DIIIs	12.89%
Public	7.35%	Pledge	1.76%	Int. Cover	18.6x

Source: Screener.in (02-Jun-2026), AlphaSpread concall transcript (15-May-2026). All figures Rs. Crores unless stated. This report is for informational purposes only.

SECTION 2 — INVESTMENT THESIS

- **Defence supercycle at inflection:** India's Aatmanirbhar Bharat drive is creating a Rs.5–7 lakh Cr ammunition and missile procurement opportunity over FY25–35. Solar is the **only listed private-sector vertically integrated manufacturer of propellants, Pinaka rockets, loitering munitions** (NAGASTRA-1), and initiating systems. Defence revenue has compounded from **Rs.528 Cr (FY23) to Rs.2,634 Cr (FY26)** and **management targets Rs.4,500 Cr+ in FY27**.
- **Rs.21,300 Cr order book = 2.2x FY26 revenue:** Defence Rs.18,000 Cr + Non-defence Rs.3,000 Cr (May-26) provides exceptional multi-year revenue visibility. **Pinaka** is the **anchor order**; further Pinaka series and new product orders are in active negotiation. The Rs.1,076 Cr export order won on 29-May-26 (3-year delivery) reflects broadening demand.
- **International explosives — a global mining franchise:** Solar's international operations (~Rs.3,800 Cr in FY26, +32% YoY) span 9 countries across Africa, Turkey, Kazakhstan, SE Asia, and Australia. **Long-term mine-blasting supply relationships** generate recurring revenue, insulating the company from domestic cyclicality in coal and infrastructure blasting demand.
- **Near-term catalyst (6–12 months):** Commissioning of the **155 mm complete ammunition round** (targeted in 3–4 months from May-26) — the first such capability at a private Indian company — would unlock a large, high-margin, multi-year defence pipeline and serve as a meaningful re-rating catalyst.
- **Biggest structural risk:** **Ammonium nitrate price inflation** compressing margins faster than price escalation clauses can compensate, combined with flat domestic mining demand; both could pressure FY27 EBITDA below the guided 28% OPM.

SECTION 3 — BUSINESS OVERVIEW

- **Core business model:** Solar **manufactures and supplies bulk and cartridge explosives, initiating systems (detonators, detonating cord), and high-energy materials (HEM) for mining, infrastructure, and defence through long-term supply agreements and government procurement contracts.**
- **Revenue mix (FY26 — Consolidated):** Defence 27% (Rs.2,634 Cr) | International/Exports ~39% (~Rs.3,800 Cr) | **Housing & Infrastructure 12% | CIL 9% | Non-CIL/Institutional 12%.** Defence + International = ~67% of revenue, driving both margin quality and growth.
- **Key customers:** Coal India Ltd (anchor domestic, FSA-based supply); Ministry of Defence / DRDO (Pinaka rockets, propellants, initiating systems); international mining majors across Africa, Turkey, and SE Asia. Government contracts are recurring but subject to scheduling variability.
- **Order book (May-2026):** **Rs.21,300 Cr total; Rs.18,000 Cr defence (Pinaka and related products) + Rs.3,000 Cr non-defence.** At 2.2x FY26 revenue, provides strong visibility into FY27 and FY28. Management targets Rs.14,000 Cr in FY27.
- **Recent strategic developments (FY26):** (1) **Rs.6,084 Cr Pinaka Rocket System contract — largest artillery order to a private Indian company;** (2) First-ever NAGASTRA-1 loitering munition order; (3) Rs.1,076 Cr 3-year export order (May-26); (4) Medium-calibre ammunition facility commissioned; (5) New plants in North and West India; Zimbabwe and Kazakhstan entered.
- **Promoter background:** Founded 1995 by S.N. Nuwal family (Nagpur). MD Mr. Manish Nuwal has led the strategic transformation from regional to global. Promoter holding stable at 73.15% over 3 years; pledge 1.76% — low and stable.
- **Manufacturing footprint:** 9 countries. Nagpur facility (1,080 acres) is the defence hub. Satellite plants being added across North, West, East, and South India to capture domestic market share closer to customers.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industrial explosives market:** India ~Rs.20,000–25,000 Cr annually, growing 6–8% CAGR. Solar's domestic market share estimated at 25–30% by volume — largest private player. Demand driven by coal mining, infrastructure, and quarrying; partially government-controlled through Coal India FSAs.
- **Defence ammunition opportunity:** India's ammunition import bill ~Rs.10,000–15,000 Cr per year; government target of 70%+ domestic procurement by 2030 under Positive Indigenisation Lists. Private sector opportunity in propellants, rockets, and advanced munitions estimated at Rs.5–7 lakh Cr over FY25–35.
- **Policy tailwinds:** 7 Positive Indigenisation Lists; PLI scheme for drones/ammunition; Rs.6.81 lakh Cr defence capex budgeted in Union Budget FY26; government target Rs.3 lakh Cr domestic defence production by FY29; Aatmanirbhar Bharat as sustained political mandate.
- **Competitive moat:** Switching costs: STRONG (10–15-year defence qualification cycles). Scale: STRONG (largest private manufacturer, 9-country footprint). IP/Technology: MODERATE-STRONG (proprietary HEM, propellant technology, DRDO co-development). Pricing power: MODERATE (rise-and-fall clauses lag cost inflation by ~1 quarter).
- **Headwinds:** Ammonium nitrate price volatility (key input, largely imported); potential demand softening in domestic mining; possible entry by industrial conglomerates (Kalyani Group mentioned) into defence explosives over 3–5 years.

Peer Comparison (Source: Screener.in, 02-Jun-2026)

Company	CMP	MCap (Cr)	P/E	FwdPE	EV/EBIT DA	ROCE%	ROE%	D/E
Solar Industries	18,386	1,66,385	99.2	76.0	60.8	36.8%	31.5%	0.24
Premier Explosives	656	3,531	71.1	135	43.4	22.6%	18.6%	0.11
GOCL Corp (*)	401	1,985	7.4	6.6	5.0	13.1%	11.4%	0.00

(*) GOCL Corp FY26 revenue = Rs.10 Cr; earnings Rs.1,522 Cr driven by one-time land monetisation. Not operationally comparable.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter & management:** Nuwal family has run Solar since 1995. MD Mr. Manish Nuwal guided the pivot from a domestic explosives manufacturer to a global defence-explosives group. EDs Suresh Menon and Milind Deshmukh bring defence and international domain depth; two Joint CFOs manage finance and treasury.
- **Capital allocation:** Rs.2,700 Cr invested over last 2 years in greenfield and expansion capex; PAT compounded 40% CAGR over FY22–26 — high-return deployment. FY27 capex of Rs.2,050 Cr (~15% of guided revenue) is aggressive but backed by an Rs.21,300 Cr order book.
- **FCF track record:** FCF was strongly positive in FY24 (Rs.858 Cr) and FY25 (Rs.1,466 Cr) before turning negative in FY26 (-Rs.1,072 Cr) due to a deliberate strategic inventory build. Historical CFO/OP of 115% and 142% in FY24 and FY25 demonstrates high earnings quality.
- **Dividend policy:** Rs.10/share (FY25) raised to Rs.11/share (FY26). Low payout (~6%) reflects a reinvestment-first approach appropriate for this growth stage. Dividend paid consistently.
- **Promoter pledge & holding:** 1.76% pledged — low and stable. 73.15% holding unchanged over 3 years — no exit intent.
- **Corporate governance:** No auditor change, no qualified opinion, negligible contingent liabilities (Rs.18.6 Cr). Subsidiary inter-company RPTs are normal for the group structure and not governance-flagged.
- **Capital allocation verdict: HIGH QUALITY.** Long investment horizons (defence seeded 10+ years ago, now Rs.2,634 Cr revenue), conservative leverage (D/E 0.24x), and consistently rising dividend reflect institutional-grade stewardship.

SECTION 6 — FINANCIAL DEEP-DIVE

Consolidated P&L; (Rs. Cr)

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E
Revenue	3,948	6,918	6,070	7,540	9,838	14,000
YoY Growth	—	75.3%	-12.3%	24.2%	30.5%	42.3%
EBITDA	748	1,336	1,482	2,026	2,622	3,920
OPM %	19%	19%	24%	27%	27%	28%
Other Income	19	-16	-68	10	128	80
Interest	50	90	109	116	134	165
Depreciation	109	128	143	182	251	360
PBT	607	1,102	1,161	1,739	2,365	3,475
Tax Rate	25%	26%	25%	26%	27%	27%
PAT	455	811	875	1,288	1,737	2,537
EPS (Rs.)	48.77	83.68	92.38	133.65	185.38	272.2

Consolidated Balance Sheet (Rs. Cr)

Rs. Cr	FY23A	FY24A	FY25A	FY26A
Equity Capital	18	18	18	18
Reserves	2,592	3,288	4,368	6,259
Borrowings	1,195	1,138	975	1,524
Other Liabilities	1,104	1,134	2,744	3,117
Total Liabilities	4,909	5,577	8,106	10,918
Fixed Assets	1,702	2,028	2,692	4,045
CWIP	282	490	707	692
Investments	99	370	676	183
Other Assets	2,826	2,690	4,030	5,999
Total Assets	4,909	5,577	8,106	10,918

Cash Flow & Key Ratios (Consolidated, Rs. Cr)

Rs. Cr	FY23A	FY24A	FY25A	FY26A
Cash from Operations	656	1,406	2,468	621
Cash from Investing	-614	-1,022	-1,660	-1,164
Cash from Financing	118	-370	-476	209
Free Cash Flow	183	858	1,466	-1,072
CFO / Oper. Profit	68%	115%	142%	49%
Debtor Days	44	51	60	69
Inventory Days	92	97	97	130
CCC (days)	95	111	111	152
ROCE %	36%	32%	38%	37%

• **Revenue drivers:** FY26 revenue (+30.5% YoY) driven by defence (+94% to Rs.2,634 Cr) and international (+32% to ~Rs.3,800 Cr), offsetting flat domestic mining. FY27E target Rs.14,000 Cr (+42%) is underwritten by Rs.21,300 Cr order book; implies defence revenue crossing Rs.4,500 Cr.

• **Margin profile:** OPM expanded from 19% (FY22–23) to 27% (FY25–26) driven by rising defence mix and operational leverage. FY27 margin guidance of ~28% is challenged by ammonium nitrate price surge but

supported by further defence scale-up; net effect: margins maintained per management.

- **Working capital:** CCC expanded 95 days (FY23) → 152 days (FY26). FY26 spike (+41 days) is entirely strategic inventory accumulation (geopolitical hedge). Management has committed to normalisation over 2 quarters — a key variable to monitor in FY27 H1.

- **FCF quality:** FY24 (Rs.858 Cr) and FY25 (Rs.1,466 Cr) FCF at CFO/OP of 115–142% demonstrate fundamentally high earnings quality. FY26 FCF (-Rs.1,072 Cr) is a transient, strategy-driven anomaly, not a structural concern.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Rating	Comment
Revenue recognition	GREEN	Long-term contracts and government FSAs; clean accrual basis; no aggressive recognition concerns
Receivables vs Revenue	AMBER	Debtor days 44d→69d over 3 years; defence receivables lumpy by nature — monitor FY27 trend
CCC trend	AMBER	CCC 95d→152d; FY26 spike is strategic (inventory build) — expected to normalise in 2 quarters
Contingent liabilities	GREEN	Rs.18.6 Cr — negligible vs Rs.10,918 Cr balance sheet; no material off-balance-sheet risk
Auditor tenure	GREEN	No auditor change; no qualified opinion on record
RPTs as % of revenue	GREEN	Subsidiary inter-company transactions normal for group structure; no governance concern flagged
Other income as % of PBT	GREEN	FY26 other income Rs.128 Cr = 5.4% of PBT; largely forex and interest income — immaterial
Tax rate consistency	GREEN	25–27% tax rate consistent over 5 years; no unusual deferred tax usage

• **Overall: Mostly clean.** 6/8 parameters are GREEN; the two AMBER flags are both well-explained and expected to normalise.

• **AMBER — Receivables:** Defence receivables from MoD customers can be slow-moving; this is sector-normal but investors must monitor if debtor days exceed 80+ days in FY27 without revenue growth rationale.

• **AMBER — CCC:** Management's explicit confirmation of strategic inventory intent is credible; watch Q1/Q2 FY27 for normalisation. If CCC stays above 140 days by Sep-26, this flips to RED.

SECTION 8 — VALUATION

Valuation Peer Table (Source: Screener.in, 02-Jun-2026)

Company	CMP	MCap (Cr)	FwdPE	EV/EBITD		ROCE%	TTM Rev (Cr)	TTM PAT (Cr)
				A				
Solar Industries	18,386	1,66,385	76.0	60.8		36.8%	9,838	1,737
Premier Explosives	656	3,531	135	43.4		22.6%	388	46
GOCL Corp (*)	401	1,985	6.6	5.0		13.1%	10	1,522

(*) GOCL Corp FY26 PAT includes Rs.1,671 Cr one-time land monetisation — not operationally comparable

Scenario Analysis — 12-Month Price Target

Scenario	Key Assumptions	FY27E PAT	FY27E EPS	PE Mult.	Target (Rs.)
Bull	Defence >Rs.5,000 Cr; OPM 29%+	Rs.2,900 Cr	311	75x	Rs. 23,300
Base	Mgmt guidance met; OPM ~28%	Rs.2,537 Cr	272	74x	Rs. 20,000
Bear	Revenue Rs.12,000 Cr; OPM 25%	Rs.1,960 Cr	210	60x	Rs. 12,600

• **P/E approach:** 74x P/E on FY27E EPS Rs.272 = Rs.20,100. The 74x multiple is ~25% below trailing PE (99.2x) and in line with Screener's displayed FwdPE of 76x — reflects structural premium for a defence compounder with Rs.21,300 Cr order book and 43% PAT CAGR (5-year).

• **EV/EBITDA approach:** 45x on FY27E EBITDA Rs.3,920 Cr = EV Rs.1,76,400 Cr. Less net debt (~Rs.1,000 Cr net) = equity value Rs.1,75,400 Cr → Rs.18,800/share on 9.07 Cr shares.

• **Base target: Rs.20,000** — average of P/E (Rs.20,100) and EV/EBITDA (Rs.18,800) methods, rounded. Represents +8.8% upside from CMP Rs.18,386 over 12 months.

- **Valuation caution:** At 99x trailing PE, the stock prices in near-flawless execution of FY27 guidance. Any guidance miss or margin slippage triggers a de-rating risk that far outweighs the 8.8% upside. ACCUMULATE — not a high-conviction BUY at current price.

SECTION 9 — KEY RISKS

- **Defence order execution risk** — MoD scheduling delays, trial failures, or policy shifts can defer revenue recognition by 1–4 quarters. With Rs.18,000 Cr of the order book in defence, even modest delays compress FY27 revenue materially. **Probability: M. Impact: H.** Monitor: Quarterly defence revenue vs. management guidance.
- **Raw material inflation (AN)** — Ammonium nitrate is the key explosive precursor, largely imported. Supply disruptions and commodity cycles create margin risk; price escalation clauses cover ~60% of cost pass-through with a 1-quarter lag. **Probability: H. Impact: H.** Monitor: AN spot price; Q1/Q2 FY27 EBITDA margins.
- **Competition (conglomerates)** — Entry of Kalyani Group or large industrials into defence explosives / propellants over 3–5 years could erode Solar's pricing power and order pipeline. **Probability: M. Impact: M.** Monitor: New RFP announcements; competitor qualifications.
- **Working capital normalisation** — Rs.1,072 Cr FCF deficit and 152-day CCC are elevated. If inventory does not normalise as guided, or defence receivables remain sticky, additional borrowing may be needed. **Probability: L. Impact: M.** Monitor: FY27 Q1/Q2 CCC and OCF trends.
- **Valuation de-rating risk** — At 99x trailing PE, any guidance miss — revenue shortfall vs Rs.14,000 Cr or margin below 26% — could trigger significant de-rating. Highest-probability near-term risk for existing holders. **Probability: M. Impact: H.** Monitor: FY27 Q1 results vs. consensus; management tone.
- **International / FX risk** — Operations in 9 countries span Africa, Central Asia, SE Asia — markets with currency volatility, payment risk, and political risk. Forex losses or country-specific disruption could compress international margins. **Probability: M. Impact: M.** Monitor: Subsidiary PAT vs. consolidated; FX impact disclosures.
- **Key man risk** — Strategic transformation personally driven by MD Mr. Manish Nuwal. Management team is deepening but succession depth is a latent risk. **Probability: L. Impact: H.** Monitor: Board governance quality; succession announcements.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE — Conviction: Medium-High.** Solar Industries is a structural compounder at the intersection of India's defence indigenisation decade and global mining growth. The risk-reward is positive but high starting valuation limits 12-month upside to ~9% at current price.
- **12-month price target: Rs. 20,000** (+8.8% from CMP Rs. 18,386). Average of (a) 74x FY27E EPS Rs.272 = Rs.20,100 and (b) 45x FY27E EV/EBITDA Rs.3,920 Cr = Rs.18,800/share.
- **Suggested entry zone: Rs. 16,500–17,500** — represents a 10–15% correction from current levels and a more attractive forward PE of 60–65x FY27E EPS. Aligns with 200-DMA support and provides better margin of safety.
- **Investment horizon: 12–18 months.** Investors with 3-year+ horizons can hold through near-term volatility given the structural defence supercycle thesis.
- **Thesis invalidation triggers:**
 1. FY27 revenue below Rs.12,000 Cr (>14% miss vs guidance) — signals defence execution slippage and triggers de-rating.
 2. Consolidated EBITDA margin below 24% for two consecutive quarters — indicates pricing power loss or structural cost inflation.
 3. Defence order book net inflows below Rs.5,000 Cr in FY27 — undermines multi-year revenue visibility argument.

- **Ideal investor profile:** FOR — long-only institutions with 12+ month horizons; thematic defence/Aatmanirbhar mandates; investors comfortable with high-PE compounders. NOT FOR — value investors, yield seekers, or traders sensitive to near-term earnings volatility.

STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Highest-ever Q and annual revenue, EBITDA, PAT — clean beat with no one-time items
Management tone	Bullish	FY27 revenue guidance Rs.14,000 Cr; margins maintained; confident tone throughout
Guidance delta	Raised	Defence target raised to Rs.4,500 Cr+ (FY27); capex plan raised to Rs.2,050 Cr; dividend up to Rs.11/share

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Solar Q4FY26 is as clean as it gets — highest-ever quarterly revenue (Rs.3,053 Cr, +41% YoY), EBITDA (Rs.870 Cr, +59%), and PAT (Rs.556 Cr, +61%) with no exceptional items whatsoever; this is pure operational delivery. The real story is defence: quarterly defence revenue surged 134% YoY to cross Rs.1,008 Cr for the first time — the Pinaka ramp-up is real, not a promise. EBITDA margin at 28.5% held firmly despite commodity headwinds, proving the mix-shift thesis. The FY27 guidance of Rs.14,000 Cr revenue (+42%) with margins maintained is backed by an Rs.21,300 Cr order book — execution risk is the only variable. The one watch point: FCF turned negative (-Rs.1,072 Cr) due to a deliberate strategic inventory build; management committed to normalisation in 2 quarters — if that slips, watch for leverage creep. Overall: this call reinforces the thesis strongly. ACCUMULATE; add aggressively below Rs.17,500.

1. Financial Performance Snapshot — Q4 FY26

- Revenue: Rs.3,053 Cr | YoY +41% | QoQ +41% | **BEAT**
- EBITDA: Rs.870 Cr | YoY +59% | OPM 28.5% | **BEAT** — highest-ever quarterly EBITDA
- PAT: Rs.556 Cr | YoY +61% | **BEAT** — highest-ever quarterly PAT. EPS: Rs.60.52
- NOTE: No exceptional or one-time items. All EBITDA and PAT are clean operational numbers.
- Full-year FY26: Revenue Rs.9,838 Cr (+30.5%) | EBITDA Rs.2,622 Cr (+35%) | PAT Rs.1,737 Cr (+35%) | OPM 27.95%

2. Segment / Geography Breakdown — Q4 FY26

- Defence: Rs.1,008 Cr (33% of Q4) | YoY +134% | FY26 full year Rs.2,634 Cr (+94%) | First-ever Rs.1,000 Cr+ quarter
- International / Exports: ~Rs.1,000 Cr (33% of Q4) | Full-year +32% YoY | QoQ flat but management expects higher Q1FY27
- Housing & Infrastructure: 15% of Q4 | Flat; no growth headwind expected in FY27
- CIL / Coal India: 9% of Q4 (down from 13%) | Volume flat; OB removal negative in FY26; FY27 recovery expected
- Non-CIL / Institutional: 10% of Q4 (down from 14%) — mix-shift to higher-margin defence and international

3. Management Commentary Themes

- **Defence scaling:** "Defence business has nearly doubled... revenue surging 134% in Q4 and 94% for the full year" — MD Manish Nuwal. Tag: GUIDANCE | Tone: Transparent. Read: Defence is delivering, not just a promise.
- **FY27 target Rs.14,000 Cr:** Backed by Rs.21,300 Cr order book; maintains current EBITDA margins. Tag: GUIDANCE | Tone: Bullish. Credibility: High.
- **International expansion:** Africa (South Africa hub, 5 countries + Sierra Leone upcoming); Turkey; Kazakhstan; SE Asia (Thailand, Indonesia); Australia imminent. 30% intl growth expected FY27. Tag: GUIDANCE | Tone: Transparent.
- **Working capital strategy:** FY26 inventory build was "deliberate and strategic" — geopolitical supply chain hedge. "Next 2 quarters" normalisation committed. Tag: EST | Tone: Transparent. Watch: Q1/Q2 FY27.
- **Commodity margin impact:** Rise-and-fall clauses cover ~60% of cost increases; remainder absorbed or passed with a lag. Confident to maintain 27–28% EBITDA margins in FY27. Tag: GUIDANCE | Tone: Balanced.
- **New product pipeline:** Bhargavastra (counter-drone) — all trials "in this calendar year." 155mm complete round — "3-4 months" to finish coupling facility, then qualification supply. Medium-calibre ammunition — commissioned, qualification ongoing. Tag: EST | Tone: Hedged.

4. Operating & Business Metrics

- Order book (May-26): Rs.21,300 Cr | Defence Rs.18,000 Cr + Non-defence Rs.3,000 Cr | Coverage: 2.2x FY26 revenue
- Industrial explosives production: 600,000 MT (FY25 latest) | Capacity additions in N/W/E/S India underway
- Working capital days: 74 days (FY26) vs 37 days (FY25) | Target: normalise to ~50–55 days in 2 quarters
- Capex invested last 2 years: Rs.2,700 Cr | FY27 planned: Rs.2,050 Cr | Focus: Nagpur defence facility + regional plants
- Global manufacturing: 9 countries (FY25) | Added Zimbabwe, Kazakhstan in FY26 | Australia upcoming
- Dividend proposed: Rs.11/share for FY26 (up from Rs.10/share in FY25)

5. Margin Drivers

- Defence mix expansion: +~800 bps over 3 years (defence ~35–40% EBITDA margin vs ~18–20% for industrial) | Recurring: Yes | Key structural driver
- International scale: Higher-value customer relationships; some dilution from new geography setup costs | Recurring: Yes | Net positive
- Ammonium nitrate inflation (FY27 headwind): Est. -150 to -250 bps | Recurring: No (commodity cycle) | Escalation clauses mitigate with ~1-quarter lag
- Strategic inventory gains (Q4 FY26): Natural benefit from elevated inventory amid price rise | Recurring: No | Not to be extrapolated
- Employee cost expansion: +45% YoY (Rs.845 Cr vs Rs.600 Cr) — defence workforce scale-up | Recurring: Partial; normalises as revenues scale
- Operating leverage: Rising fixed-cost absorption as defence revenue scales — increasingly powerful margin lever | Recurring: Yes

6. Guidance & Forward Signals

- Revenue [GUIDANCE]: Prior ~Rs.10,000-11,000 Cr | New = Rs.14,000 Cr FY27 | Delta: Raised | Credibility: High

- Defence revenue [GUIDANCE]: Prior ~Rs.3,000 Cr | New = Rs.4,500 Cr+ FY27 | Delta: Raised | Credibility: High
- EBITDA margin [GUIDANCE]: Prior = 26–27% | New = ~28% (maintain current) | Delta: Maintained | Credibility: Medium (commodity risk)
- International growth [GUIDANCE]: ~30% in FY27 | Delta: Maintained from prior guidance | Credibility: Medium-High
- CapEx [GUIDANCE]: Rs.2,050 Cr FY27 (vs Rs.1,660 Cr investing in FY25) | Delta: Raised | Credibility: High
- Working capital normalisation [GUIDANCE]: "Next 2 quarters" | New commitment | Credibility: Medium — watch Q1/Q2

7. Capital Allocation

- Capex (FY26 investing outflows): Rs.1,164 Cr | FY25: Rs.1,660 Cr | FY27 plan: Rs.2,050 Cr | Focus: Defence expansion Nagpur + regional industrial plants
- Dividends: Rs.10/share FY25; Rs.11/share proposed FY26 | Low payout (~6%) — reinvestment-first stance, appropriate for growth stage
- Buybacks: None on record
- Net Debt: Borrowings Rs.975 Cr (FY25) → Rs.1,524 Cr (FY26); D/E = 0.24x; Net Debt/EBITDA ~0.2x — no stress
- Working capital change: Strategic inventory build absorbed Rs.1,600+ Cr in FY26 — largest single use of capital; management flagged as temporary
- OCF (FY26): Rs.621 Cr vs Rs.2,468 Cr (FY25) — drop fully explained by strategic inventory build, not earnings quality deterioration

8. Q&A; Heat Map

- Amit Dixit (Goldman Sachs): Q: International geographies and FY27 targets? → A: Africa expansion detailed (Ghana, Sierra Leone upcoming), Kazakhstan, SE Asia, Australia. 30% intl growth FY27. | Tone: Transparent
- Amit Dixit (Goldman Sachs): Q: Bhargavastra and 155mm status? → A: Bhargavastra final stage, all trials in calendar 2026; 155mm coupling facility 3-4 months away. | Tone: Hedged (product-specific caution)
- Umesh Raut (Nomura): Q: Can international business 2-3x in 2-3 years? → A: Declined specific multiple; volume +10%, value +15% typical; FY27 +30% on commodity price tailwind. | Tone: Measured/Balanced
- Umesh Raut (Nomura): Q: Implied 35% domestic growth in FY27 — how? → A: 10–15% volume + 18–20% price (commodity pass-through); FY26 domestic was "bottom-out year." | Tone: Transparent
- Umesh Raut (Nomura): Q: Kalyani Group entering explosives — concern? → A: "We are not afraid from anyone. Market opportunities are immense." | Tone: Confident but evasive on specifics
- Vikash Singh (ICICI): Q: Inventory gains in Q4 and capex split defence vs non-defence? → A: Inventory gains exist naturally; capex not split by vertical — allocated by opportunity. | Tone: Hedged on capex (legitimate)
- Bharat Shah (BCS Capital): Q: Rs.1,600 Cr working capital swing — deliberate? → A: "Yes, deliberate and strategic." 2-quarter normalisation. | Tone: Transparent
- Sanjeev Zarbade (Antique): Q: West Asia freight/logistics headwinds and Q1 margins? → A: Expect improved intl performance; declined quarterly margin guidance. | Tone: Balanced / Declined Q guidance appropriately
- Dodged / watch-list: (1) Capex split defence vs non-defence; (2) Country-level international profitability; (3) Bhargavastra order value and timeline; (4) Kalyani competitive detail

9. Risks Flagged on the Call

- Ammonium nitrate / commodity price spike: Flagged by management and multiple analysts | Prob: H | Impact: H | Timeline: Near-term FY27 H1
- Demand contraction from high explosive prices: Management "feels there can be demand contraction for couple of months" | Prob: M | Impact: M | Timeline: Near-term
- International FX and payment risk: Volatile currencies and delayed payments in Africa / Central Asia — ongoing operating challenge | Prob: M | Impact: M | Timeline: Ongoing
- Defence revenue lumpiness: MoD scheduling delays acknowledged implicitly in declining quarterly guidance | Prob: M | Impact: H | Timeline: Near-term
- Competition from conglomerates (Kalyani): Analyst-flagged; management dismissive but no substantive counter-argument | Prob: L (short-term) | Impact: M (long-term)

10. Analyst Verdict

- Revenue visibility: **Intact** — Rs.21,300 Cr order book at 2.2x FY26 revenue; defence ramp credible and accelerating
- Margin trajectory: **Intact** — 27.95% FY26 OPM; FY27 ~28% guided despite commodity headwinds; mix shift provides buffer
- Capital allocation quality: **Intact** — capex is return-generating; working capital build is strategic not structural; D/E conservative at 0.24x
- Competitive moat: **Intact** — 10–15 year defence qualification cycles; first-mover in Pinaka and NAGASTRA-1; 9-country international footprint
- Management credibility: **Intact** — FY26 guidance was met; FY27 guidance backed by order book; working capital explanation credible
- Valuation comfort: **Weakened** — 99x trailing PE and 60x EV/EBITDA prices in near-flawless execution; de-rating risk elevated
- Conviction call: **Unchanged — ACCUMULATE**; add aggressively below Rs.17,500; 12-month target Rs.20,000
- Valuation snapshot: P/E = 99.2x (5Y avg ~60x) | EV/EBITDA = 60.8x (5Y avg ~35x) | ROCE = 36.8% (5Y avg ~30%) | FY27E P/E = 66.6x on EPS Rs.272

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